

Demand pull and Cost push inflation (Explanations with diagram- 3+3=6 Marks each)

each needed for controlling inflation. In a short run monetary measures are effective whereas in long run fiscal policies are effective. (3 mark)

mark each.

Module V

Absolute advantage and the theory of comparative advantage theory

According to AA theory "Countries should specialize in producing the goods and services in which they have absolute advantage and engage in free trade with other countries to sell their goods"

According to Ricardo in CT,

"Even in the case of a country for which there is no absolute advantage for both the commodities, it can gain from international trade.

In this situation, the country should specialize in the production and export of the commodity in which its absolute disadvantage is smaller and import the commodity in which its absolute disadvantage is greater".

(Explanation 6 marks, example 4 mark)

9) Brief explanation on both 2+2 marks

OR

10) Differentiate with any 6 points - 6 marks. BOT- 2 marks and BOI 2 marks

11) Devaluation means a deliberate reduction of the value of the domestic currency in terms of foreign currencies. A country which faces a serious problem of deficit in the balance of payments may resort to devaluation. This will stimulate their export and discourage import. Devaluation will improve the balance of payments of a country if the sum of elasticity of demand for a country's exports and elasticity of demand for imports is greater than one" (2+2)

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Cost plus pricing and price skimming

going rate pricing and price skimming

Explanation of any four methods. (2 x 4 = 8 marks)

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b) Kinked demand curve. (Explanation with fig. 2+2 marks)

Module IV

a) Explanation of four sector model with a neat diagram. (Explanation diagram 4 marks)

b) Private consumption expenditure = 2000 (in 000 crores), Government consumption = 500, NFIA = -300, Investment = 800, Net exports = Depreciation = 400 and Net indirect tax = 300.

We know according to expenditure method,

GDPMP = C + I + G + (X - M) = 2000 + 800 + 500 + 700 = 4000 crores

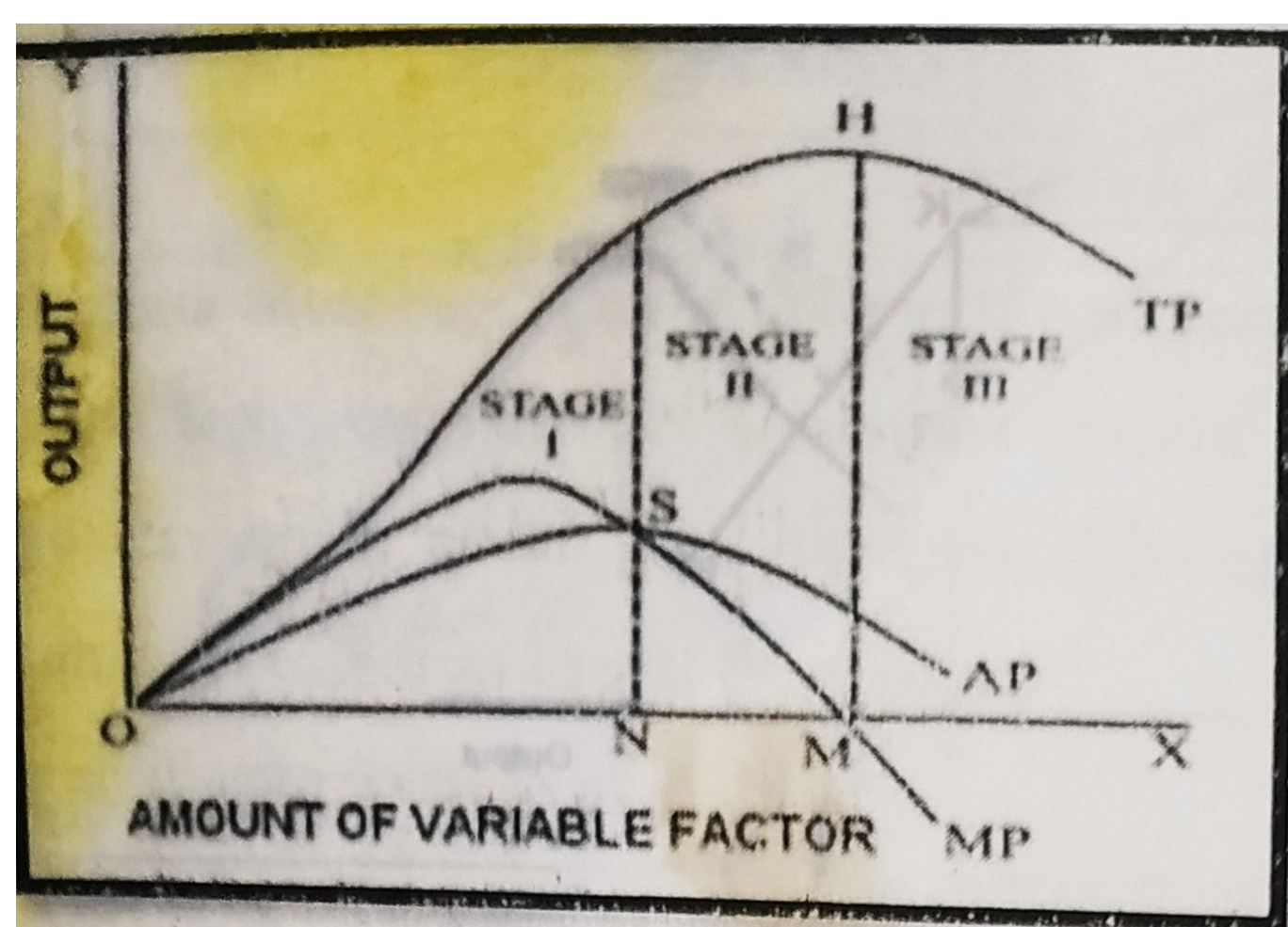
GNPMP = GDPMP + NFIA = 4000 + (-300) = 3700

NNPMP = GNPMP - Depreciation = 3700 - 400 = 3300

National income or NNPEC = NNPMP - NIT = 3300 - 300 = 3000

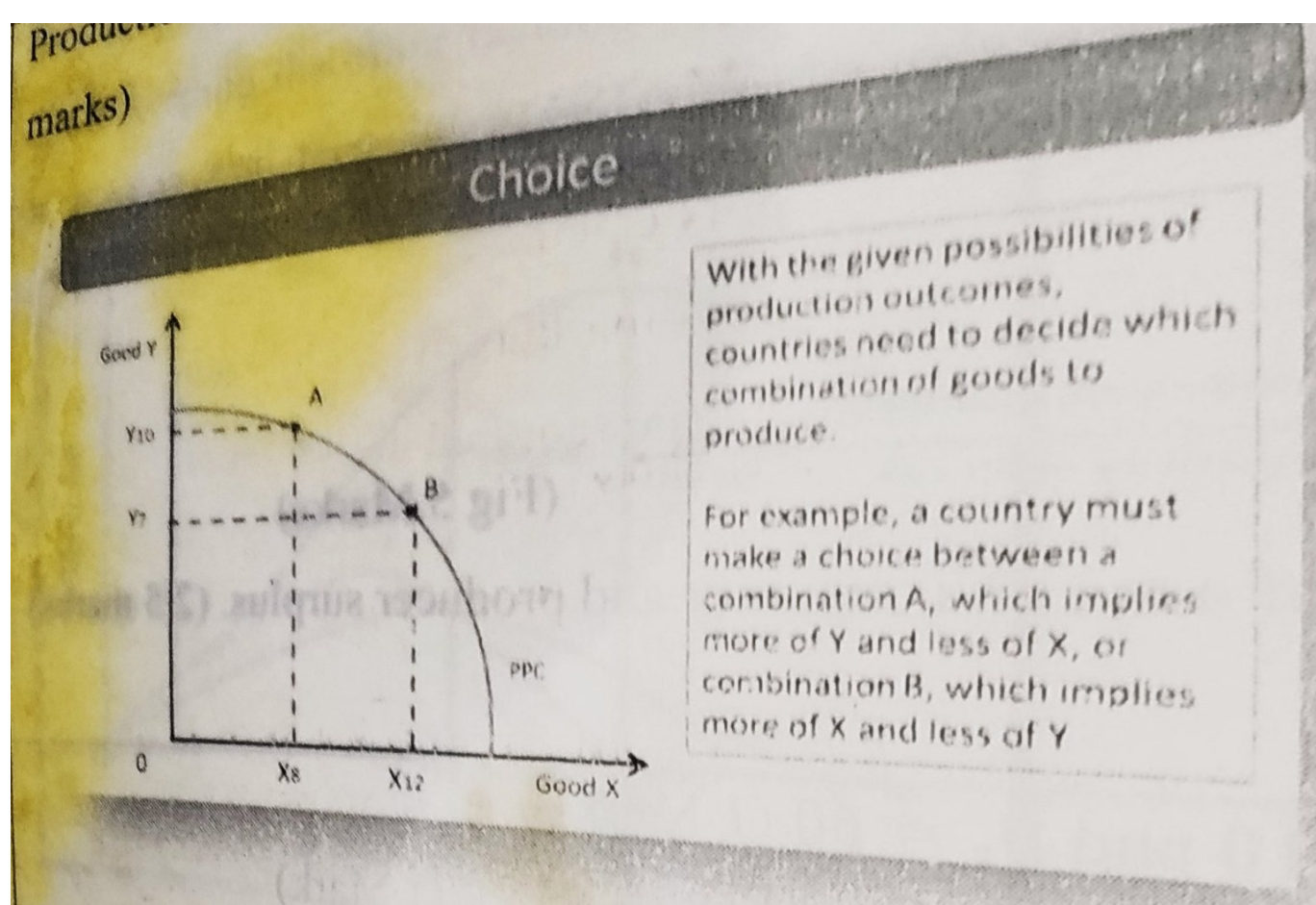
OR

8) Inflation is a situation in which there is a persistent rise in the general price level.



	Freedom of entry and exit. Firms produce unsystematically differentiated goods. The good is highly price inelastic demand; they are price makers because the good is highly differentiated. Large number of sellers. Product Differentiation, Advertisement and selling cost. Lack of Perfect Knowledge.																
6	Cost-plus pricing: Markup pricing or cost-plus pricing is a pricing strategy where the price of a product or service is calculated by adding together the cost of the products and a percentage of it as a markup. The percentage or markup is decided by the company usually fixed at the required rate of return. Price = Cost (AC) + m (Margin)																
7	Any three valid points, 1 mark each. <table><thead><tr><th>GDP</th><th>GNP</th></tr></thead><tbody><tr><td>The worth of goods and services produced within the geographical limits of the country is known as Gross Domestic Product (GDP).</td><td>The worth of goods and services produced by the country's citizens irrespective of the geographical location is known as Gross National Product (GNP).</td></tr><tr><td>Production of products within the country's boundary.</td><td>Production of products by the enterprises owned by the residents of the country.</td></tr><tr><td>Location</td><td>Citizenship</td></tr><tr><td>GDP = Consumption + Investment + Government Spending = (X+M)</td><td>GNP = GDP + NEIA</td></tr><tr><td>On a local scale.</td><td>On international scale</td></tr><tr><td>Domestic production</td><td>Production by nationals</td></tr><tr><td>The strength of the country's domestic economy.</td><td>How the residents are contributing towards the country's economy.</td></tr></tbody></table>	GDP	GNP	The worth of goods and services produced within the geographical limits of the country is known as Gross Domestic Product (GDP).	The worth of goods and services produced by the country's citizens irrespective of the geographical location is known as Gross National Product (GNP).	Production of products within the country's boundary.	Production of products by the enterprises owned by the residents of the country.	Location	Citizenship	GDP = Consumption + Investment + Government Spending = (X+M)	GNP = GDP + NEIA	On a local scale.	On international scale	Domestic production	Production by nationals	The strength of the country's domestic economy.	How the residents are contributing towards the country's economy.
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8	Stock market indices are the barometers of the stock market. They mirror the stock market behavior. Eg: SENSEX and NIFTY (Brief explanation 3 marks)																
9	Nations with relatively abundant capital and relatively insufficient labour will tend to export capital-intensive goods and import labour-intensive ones, whereas nations with relatively abundant labour and relatively insufficient capital will tend to export labour-intensive goods and import capital-intensive ones. (Brief explanation 3 marks)																
10	Invisibles also called non-merchandise and it includes services, transfers and income. It is the difference between a country's invisible exports and invisible imports over a specified time period. (Brief explanation 3 marks)																

PART B



Effect of imposition of a tax on consumer and producer surplus. (2.5 marks)

b) $\Delta P_{tea} = 70 - 60 = 10$ and $D_x = 60$ (1 Mark)
 $\Delta P_{tea} = Rs. 5 - Rs. 4.5 = Rs. 0.5$ and $P_y = Rs. 4.5$ (1 Mark)
Cross elasticity of demand of tea for coffee = $\frac{\% \text{ change in demand of tea}}{\% \text{ change in price of coffee}} = \frac{60}{120} = 0.5$
1.5 (2 Marks)

Module II

13. a) (i) Break-even analysis tells you how many units of a product must be sold to cover the fixed and variable costs of production. The break-even point is considered a measure of the margin of safety.
Definition 2.5 marks and diagram 2.5 marks.

(ii) Sales Rs. 80000, Fixed Cost is Rs. 15000, Variable cost is Rs. 35000.
(a) Break-even Sales = Fixed Cost / Contribution ratio
Contribution ratio = $(SR - TVC) / (SR) = (80000 - 35000) / 80000 = 0.563$
BES = $(15000 / 0.563) = Rs. 26666.67$ (2 mark)
(b) Contribution = Total Revenue - Total variable cost = $80000 - 35000 = Rs. 45000$ (1 mark)
(c) Margin of safety = Actual sales - Break-even Sales = $80000 - 26666.67 = Rs. 53333.37$ (1 mark)
(d) Profit = Contribution - FC = $45000 - 15000 = Rs. 30000$ (1 mark)

b) In short run a rational producer will produce. (1 Mark) Justify the answer with suitable example and diagram (3 Marks)

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Max. Marks: 100

PART A

Answer all questions, each carries 3 marks.

Opportunity cost of a choice is the value of the best alternative forgone where, given limited resources; a choice needs to be made between several (mutually exclusive) alternatives. Definition 1.5 marks and example 1.5 mark.

Advantages and disadvantages of Joint Stock Company (Any *three* points for each)

Advantages

1. Limited liability 2. Perpetual Existence 3. Large funds 4. Independent Legal Entity 5. Transferability of Shares

Disadvantages

1. Complexities in formation 2. Conflict of interest 3. Excessive government controls 4. Lack of secrecy

$Q = 2K^{0.25}L^{0.75} = 10$ (1 mark)

10% reduction in value of L = $5 \times 0.9 = 4.5$ (1 Mark)

To produce the same output of 10, the change in value of K is $10 = 2K^{0.25}4.5^{0.75}$
 $= 6.86$ units (1 Mark)

Equilibrium price is the price at which the demand and supply intersect in other words when the quantity demanded and supplied is the same in the market.

Graphically equilibrium price is the price at the intersection of demand and supply curve i.e. P. (2 Marks)

Quantity (1 Marks)

Features of a monopolistic competition. (Any 3 points)

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